SRI also serves an important role when it reflects the preferences of an asset owner. In Norway's case, practicing SRI gives the sovereign wealth fund legitimacy in the eyes of its owners—the Norwegian people.[43] SRI is the asset owners' choice, but the costs of imposing SRI constraints, or any other constraints, should be measured relative to the full investment set: how much are you giving up to be good?

The main message from mean-variance investing is to hold a diversified portfolio, which Norway does. Diversification benefits are a free lunch according to mean-variance investing. Doing SRI by exclusions is costly because it shrinks diversification benefits. But starting from a well-diversified portfolio (and some of the best-performing diversified portfolios are the most simple, like equal-weighted and market-weighted portfolios), the loss from excluding a few stocks is tiny. The cost of being socially responsible for Norway is negligible.

At the time of writing in 2013, Wal-Mart was still on Norway's excluded list.

[43] See Ang (2012a).